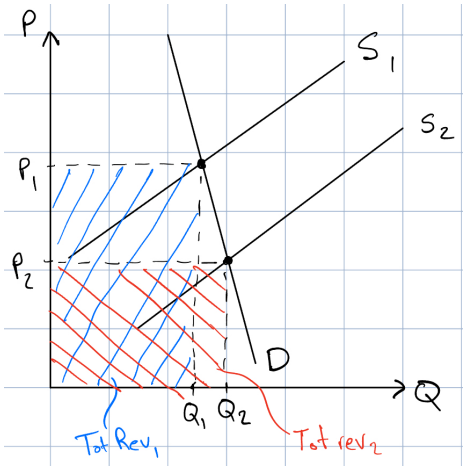
Ch. 5 CW Pt. 1

Principles of Microeconomics

September 21, 2025

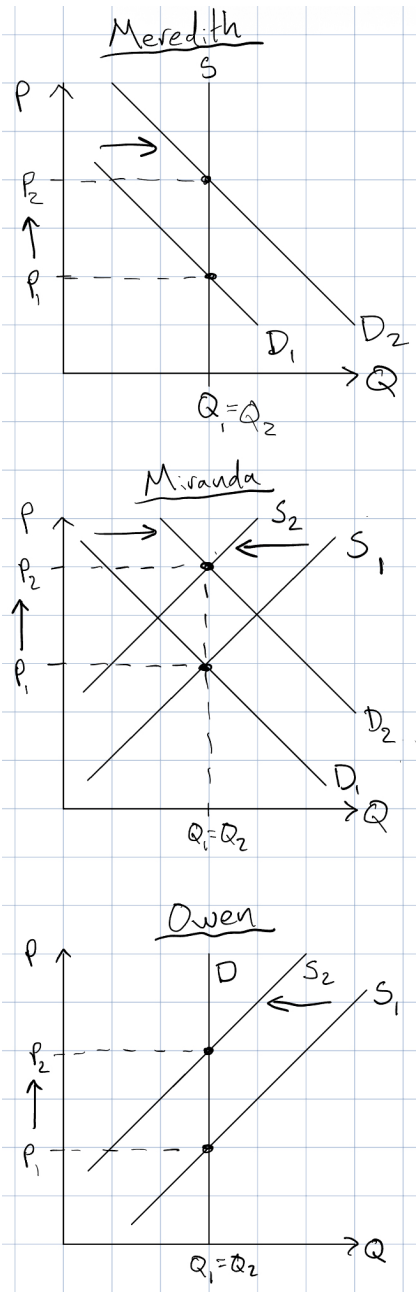
1. (c) – If the demand curve is inelastic, an increase in supply will decrease price proportionately more than it will increase quantity. As a result, revenue will go down.



2. (b) – For total expenditure (a.k.a. revenue) to increase when price goes down, quantity must increase proportionately more than price decreases. That means the numerator of the price elasticity of demand equation must be bigger than the denominator, so the price elasticity of demand must be zero. Additionally, for quantity to go up when incomes go up, smartphones must be a normal good. That means the income elasticity of demand must be greater than 0.

3.

4.



5. It depends on the price elasticity of demand for museum admission. If demand is elastic, the museum should decrease the price of admission

because the quantity of admits will increase proportionately more than the drop in price. If demand is inelastic, the museum should increase the price of admission because the quantity of admits will decrease proportionately less than the increase in price. I imagine demand for museum admission is elastic because it's a highly substitutable activity.